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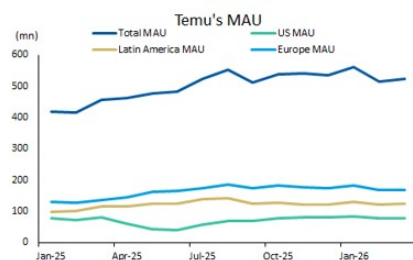
PDD Holdings Inc | Asia Pacific

Temu Progress Check – Mar 2026

1Q26

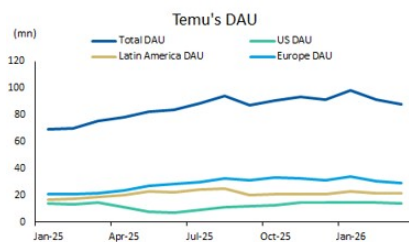
- **Global MAU +24% yoy/-1% qoq** to 533mn: US +4%, EU +32%, LatAm +19%
- **Global DAU +29% yoy/flattish% qoq** to 92.5mn: US +2%, EU +47%, LatAm +25%
- **Global DAU/MAU ratio +0.6ppts yoy** to 17%: US -0.4ppts, EU +1.9ppts, LatAm +0.9ppts
- **Global monthly downloads -33% yoy** to 89mn: US -9%, EU -47%, LatAm -43%

Exhibit 1: Temu's MAU



Source: Sensor Tower, Morgan Stanley Research

Exhibit 2: Temu's DAU



Source: Sensor Tower, Morgan Stanley Research

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PDD Holdings Inc (PDD.O, PDD US)

China Internet and Other Services | China

Stock Rating	Overweight
Industry View	Attractive
Price target	US\$148.00
Up/downside to price target (%)	45
Shr price, close (Apr 14, 2026)	US\$102.10
52-Week Range	US\$139.41-91.53
Sh out, dil, curr (mn)	1,270
Mkt cap, curr (mn)	US\$129,684
EV, curr (mn)	US\$52,746
Avg daily trading value (mn)	US\$919

Fiscal Year Ending	12/25	12/26e	12/27e	12/28e
EPS (Rmb)**	67.03	72.75	76.78	84.01
Prior EPS (Rmb)**	-	-	-	-
EPS (Rmb)§	76.43	82.32	96.99	108.04
Revenue, net (Rmb mn)	431,846	486,796	530,102	558,357
ModelWare net inc (Rmb mn)	99,364	110,334	117,035	128,697
P/E	11.8	9.6	9.1	8.3
ROE (%)	31.7	26.2	21.7	19.4
P/BV	2.4	1.6	1.3	1.1
EV/EBITDA	5.1	1.9	0.9	0.0
FCF yld ratio (%)	8.5	9.2	10.0	11.1

Unless otherwise noted, all metrics are based on Morgan Stanley ModelWare framework

** = Based on consensus methodology

§ = Consensus data is provided by Refinitiv Estimates

e = Morgan Stanley Research estimates

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Valuation Methodology and Risks

PDD Holdings Inc (PDD.O)

Base case, derived from our DCF model. Key assumptions include a WACC of 14%, in line with the average within our Chinese Internet coverage, and a terminal growth rate of 3%, also in line with those companies.

Risks to Upside

- User growth is faster than expected, energized by an upcoming consumption downgrade.
- Temu growth is faster than expected, with better-than-expected unit economics.
- Less intense competition leads to lower opex.

Risks to Downside

- Intensified competition weighs on margin improvement.
- User engagement level drops when subsidy levels normalize.
- Slower-than-expected ramp-up and overseas regulation on Temu.

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(as of March 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1534	42%	461	50%	30%	698	43%
Equal-weight/Hold	1573	43%	372	40%	24%	716	44%
Not-Rated/Hold	4	0%	1	0%	25%	1	0%
Underweight/Sell	568	15%	89	10%	16%	209	13%
Total	3,679		923			1624	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Eddy Wang, CFA		
Autohome Inc (ATHM.N)	E (02/09/2023)	US\$18.13
Full Truck Alliance Co. Ltd (YMM.N)	O (07/05/2023)	US\$8.39
JD.com, Inc. (JD.O)	U (11/10/2025)	US\$31.25
Kanzhun Ltd (BZ.O)	O (08/04/2021)	US\$13.50
KE Holdings Inc (BEKE.N)	O (03/16/2022)	US\$16.50
PDD Holdings Inc (PDD.O)	O (03/02/2023)	US\$102.10
Vipshop Holdings Ltd (VIPS.N)	E (02/24/2022)	US\$14.87
Gary Yu		
Alibaba Group Holding (BABA.N)	O (02/24/2025)	US\$131.35
Baidu Inc (BIDU.O)	E (05/17/2024)	US\$118.23
Meituan (3690.HK)	O (08/29/2024)	HK\$85.10
Tencent Holdings Ltd. (0700.HK)	O (03/19/2020)	HK\$493.20
Rebecca Xu		
HUYA Inc (HUYA.N)	E (05/16/2024)	US\$3.34
IQIYI Inc (IQ.O)	E (01/19/2023)	US\$1.41
JOYY Inc. (JOYY.O)	E (06/02/2022)	US\$62.16
Weibo Corp (WB.O)	U (05/17/2024)	US\$9.15
Yang Liu		
Bilibili Inc (BILI.O)	O (04/13/2026)	US\$25.00
Kuaishou Technology (1024.HK)	E (07/04/2024)	HK\$44.64
NetEase, Inc (NTES.O)	O (01/08/2025)	US\$113.60
Tongcheng Travel Holdings (0780.HK)	O (01/04/2019)	HK\$18.28
Trip.com Group Ltd (TCOM.O)	O (05/17/2021)	US\$52.57

Stock Ratings are subject to change. Please see latest research for each company.

* Historical prices are not split adjusted.

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